



CHAPTER 10.

An Act to protect from forfeiture industrial assurance policies and certain other assurance policies effected with registered friendly societies, in cases where default occurs in consequence of the war.

[14th March 1940.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

1. This Act applies to—

- (a) policies of industrial assurance;
- (b) policies of assurance upon human life effected with collecting societies, not being policies of industrial assurance; and
- (c) policies of assurance upon human life, in respect of which there are separate premiums, effected with registered friendly societies other than collecting societies;

Application
of Act to
assurance
policies.

being policies of assurance for an amount not exceeding fifty pounds, exclusive of any bonus added thereto, which were in force immediately before the first day of September nineteen hundred and thirty-nine and in respect of which not less than two years' premiums have been paid (whether before or after the passing of this Act).

Protection
from
forfeiture in
cases of
default
due to war.
13 & 14
Geo. 5. c. 8.

2.—(1) In relation to any policy of assurance to which this Act applies, being a policy of industrial assurance or a policy effected with a collecting society, a notice served after the passing of this Act under section twenty-three of the Industrial Assurance Act, 1923 (which provides that a forfeiture shall not be incurred by reason of the non-payment of any premium, unless default has been made in paying the premium within twenty-eight days after the service of a notice stating the amount in arrear) shall be of no effect unless, in addition to the matters required to be stated under the said section, it contains a statement in the prescribed form that an application may be made in writing within twenty-eight days and at a place specified in the notice to the industrial assurance company or collecting society, as the case may be, for protection from forfeiture on the ground that the default is due to circumstances arising directly or indirectly out of the war.

(2) Where any notice has been served in accordance with the foregoing subsection, the owner of the policy or any other person on his behalf may make an application in accordance with the notice, and if the company or society is satisfied that the default to which the notice relates is due to circumstances arising directly or indirectly out of the war, it shall endorse the policy, or serve on the applicant a further notice, to the effect that it is a policy protected under this Act.

(3) If the company or society refuses the application, it shall serve a further notice in the prescribed form on the applicant informing him that an appeal from the refusal may be made within twenty-eight days by or on behalf of the owner of the policy to the Industrial Assurance Commissioner (hereafter in this Act referred to as "the Commissioner"); and on an appeal being made in accordance with the notice, the Commissioner shall, if he is satisfied that the application ought to have been granted, make an order requiring the company or society to endorse the policy, or serve on the applicant a further notice, to the effect that it is a policy protected under this Act.

(4) Where an application under this section is refused by the company or society, the policy to which it

relates shall not be forfeited unless a notice has been served under the last foregoing subsection and either—

- (a) no appeal has been made and twenty-eight days have elapsed since the service of that notice; or
- (b) an appeal has been made and refused.

(5) Where an application under this section is granted, whether by the company or society or the Commissioner, then, subject to the provisions of this Act relating to the determination of protection, the policy shall not be forfeited for the default to which the application related or any subsequent default in the payment of premiums and no further notice shall be served under section twenty-three of the Industrial Assurance Act, 1923.

3.—(1) The following provisions shall have effect where there is a default in the payment of any premiums payable under a policy of assurance and protection from forfeiture in respect of the default is granted under this Act :—

Reduction of sum assured and (in the case of certain endowment policies) postponement of maturity, where premiums remain unpaid.

- (a) where, before the expiration of the period of grace, a claim arises under the policy, then, if and so far as the premiums in respect of which the default occurred have not been paid or tendered to the company or society before the date on which the claim arises, the amount payable in respect of the claim shall be reduced by the amount of those premiums together with interest thereon; and
- (b) where the policy is for the whole term of life and is in force at the expiration of the period of grace, then, if and so far as the said premiums have not been paid or tendered to the company or society before the expiration of that period, the amount assured by the policy shall be reduced by the sum produced by multiplying the amount of those premiums by the factor specified in the second column of the Schedule to this Act in relation to the age group mentioned in the first column of that Schedule, within which falls the age, on the anniversary of the day of his birth next after the expiration of the period of grace, of the person upon whose life

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the policy was effected, and the company or society shall endorse the policy to that effect or shall serve a notice to that effect on the owner of the policy; and

- (c) in the case of an endowment policy which is in force at the expiration of the period of grace, then, if and so far as the said premiums have not been paid or tendered to the company or society before the expiration of that period, the date of maturity of the policy shall be postponed by a period equal to that in respect of which the outstanding premiums were payable, and the period during which premiums under the policy remain payable after the expiration of the period of grace shall be correspondingly extended, and the company or society shall endorse the policy to that effect or shall serve a notice to that effect on the owner of the policy.

- (2) For the purposes of the foregoing subsection—

(a) any sums paid or tendered in respect of unpaid premiums shall be treated as satisfying those premiums in the order in which they fell due; and

(b) the interest chargeable on unpaid premiums shall be compound interest at the rate of three per cent. per annum, with half-yearly rests.

(3) Where in relation to any policy of assurance which has been protected under this Act the amount of a free paid-up policy or of a surrender value is required to be ascertained, the provisions of the policy, or of any guarantee given in relation thereto, or of the Industrial Assurance Acts, 1923 to 1929, relating to free paid-up policies and surrender values shall have effect subject to such modifications as appear to the Commissioner to be necessary having regard to the failure to pay premiums during the period of protection and the variation of the terms of the policy under this section.

Determina-
tion of
protection.

4.—(1) Where in relation to any policy of assurance an application for protection has been granted under this Act by the company or society with which the policy

was effected, and the company or society is satisfied that the owner of the policy is no longer unable by reason of circumstances arising directly or indirectly out of the war to pay the premiums on the policy, it may serve a notice in the prescribed form on the owner of the policy to the effect that his protection will be determined after the expiration of twenty-eight days from the service of the notice, but that an appeal against the notice may be made within the said twenty-eight days by or on behalf of the owner to the Commissioner.

(2) Where an appeal is made in accordance with the notice, the protection shall not be determined pending the decision of the appeal, and if the Commissioner is satisfied that the notice ought not to have been served, he shall revoke the notice.

(3) Where in relation to any policy of assurance an application for protection has been granted under this Act by the Commissioner, the company or society with which the policy was effected may at any time appeal to the Commissioner for the protection to be determined, and if the Commissioner is satisfied that the owner of the policy is no longer unable by reason of circumstances arising directly or indirectly out of the war to pay the premiums on the policy, he shall make an order for the determination of the protection.

(4) Where a notice has been served under this section and has not been revoked on appeal, or the Commissioner has made an order determining the protection, subsection (5) of section two of this Act shall cease to apply as respects any default in the payment of premiums falling due after—

(a) the expiration of the period specified in the notice or the decision of the appeal (if any) against the notice, whichever is the later, or

(b) the date of the order,

as the case may be, but nothing herein shall be taken to prejudice the making of a further application for protection.

(5) Where in relation to any policy of assurance an appeal is made to the Commissioner and granted by him, whether under this section or under any other provision

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of this Act, the policy shall thereafter be treated for the purposes of this section as a policy in relation to which an application for protection has been granted by the Commissioner and not by the company or society with which the policy was effected.

Cancellation
of forfeiture
notices and
re-instate-
ment of
policies
forfeited
before
passing of
the Act.

5.—(1) Where in relation to any policy of assurance to which this Act applies a notice has been served before the passing of this Act under section twenty-three of the Industrial Assurance Act, 1923, but the policy to which the notice relates has not been forfeited, the notice shall be of no effect.

(2) Where a policy of assurance to which this Act applies has been forfeited on or after the first day of September nineteen hundred and thirty-nine and before the passing of this Act, an application may be made by or on behalf of the owner of the policy, within three months of the passing of this Act, to the company or society with which the policy was effected and, if the company or society is satisfied that the default in respect of which the policy was forfeited was due to circumstances arising directly or indirectly out of the war, it shall reinstate the policy and endorse it, or serve on the applicant a notice, to the effect that it is a policy protected under this Act, and thereupon this Act shall have effect as if it had been in force when the default occurred and an application for protection in respect of the default had been duly made and granted thereunder.

(3) If the company or society refuses to reinstate a policy under the last foregoing subsection, it shall serve a notice in the prescribed form on the applicant informing him that an appeal may be made within twenty-eight days to the Commissioner, and on an appeal being made in accordance with the notice, the Commissioner shall, if he is satisfied that the protection sought ought to have been granted by the company or society, make an order reinstating the policy (which shall have the like effect as reinstatement by the company or society) and requiring the company or society to endorse the policy, or serve on the applicant a further notice, to the effect that it is a policy protected under this Act.

6. Where in relation to any policy of assurance to which this Act applies the period has expired for making an application for protection under this Act, the owner of the policy or any person on his behalf may, within six months after the expiration of the said period, appeal to the Commissioner, and if the Commissioner is satisfied that—

Power of Com-
missioner
to grant
protection
after period
for applica-
tion has
expired.

(a) there were good reasons for the failure to make the application within the said period and there has been no undue delay in making the appeal under this section; and

(b) if an application had been made within the said period, it would have been granted;

he may make an order reinstating the policy and requiring the company or society to endorse the policy, or serve a notice on the appellant, to the effect that it is a policy protected under this Act, and thereupon the policy shall have effect and be deemed always to have had effect as if an application for protection had been made within the said period and granted.

7. Any appeal to the Commissioner under this Act shall be dealt with as if it were a dispute referred to him under the provisions of section sixty-eight of the Friendly Societies Act, 1896, and the consent of the Treasury to his dealing therewith had been given.

Hearing of
appeals.

59 & 60 Vict.
c. 25.

8.—(1) At least twenty-eight days before any policy of assurance to which this Act applies, being a policy effected with a registered friendly society other than a collecting society, is forfeited by reason of any default in the payment of any premium, the society shall serve on the owner of the policy a notice in the prescribed form stating that an application may be made in writing to the society within twenty-eight days and at a place specified in the notice for protection from forfeiture on the ground that the default is due to circumstances arising directly or indirectly out of the war.

Special
provisions
as to certain
policies
effected with
registered
friendly
societies.

(2) Where any such notice has been served as aforesaid, the owner of the policy or any other person on his behalf may make an application in accordance with the notice, and if the society is satisfied that the default to which the notice relates is due to circumstances

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arising directly or indirectly out of the war, it shall endorse the policy, or serve on the applicant a further notice, to the effect that it is a policy protected under this Act.

(3) If the society refuses the application, it shall serve a further notice in the prescribed form on the applicant informing him that an appeal from the refusal may be made within twenty-eight days by or on behalf of the owner of the policy to the Chief Registrar of Friendly Societies; and on an appeal being made in accordance with the notice, the Chief Registrar shall, if he is satisfied that the application ought to have been granted, make an order requiring the society to endorse the policy, or serve on the applicant a further notice, to the effect that it is a policy protected under this Act.

(4) Where an application under this section is refused by the society, the policy to which it relates shall not be forfeited unless a notice has been served under the last foregoing subsection and either—

- (a) no appeal has been made and twenty-eight days have elapsed since the service of that notice; or
- (b) an appeal has been made and refused.

(5) Where an application under this section is granted, whether by the society or the Chief Registrar, the policy shall not, subject to the provisions of this Act relating to the determination of protection, be forfeited for the default to which the application related or any subsequent default in the payment of premiums.

(6) The provisions of sections three, four, five, six and seven of this Act shall apply, so far as applicable, to policies of assurance to which this section relates and to registered friendly societies other than collecting societies in like manner as they apply to policies of assurance to which section two relates and to industrial assurance companies and collecting societies, subject to the following modifications:—

- (a) for the reference in section four to subsection (5) of section two of this Act there shall be substituted a reference to subsection (5) of this section; and

(b) references to the Commissioner shall be construed as references to him in his capacity as Chief Registrar of Friendly Societies.

(7) Any notice required to be served on any person by this section shall be in writing and shall either be delivered or sent by post to him or so delivered or sent to or left at his last known place of abode.

9. The provisions of this Act shall not apply as respects any default in the payment of any premium falling due on or after such date as His Majesty may by Order in Council appoint. Final determination of protection.

10.—(1) The following expressions have the meanings hereby respectively assigned to them :— Interpretation.

“endowment policy” means a policy of assurance, insuring money to be paid on the duration for a specified period of the life of the person assured, either with or without provision for the payment of money in the event of the death of that person before the expiration of that period;

“owner” means, in relation to a policy of assurance effected with a registered friendly society other than a collecting society, the person who is for the time being the person entitled to receive the sums payable under the policy on maturity and means, in relation to any policy of assurance which has been forfeited, the person who would be so entitled if the policy were still in force;

“period of grace” means the period of three months beginning with the date appointed by Order in Council under the last foregoing section;

“policy of assurance” includes a contract of assurance in respect of which no specific document constituting the contract is issued;

“prescribed” means, in relation to industrial assurance companies and collecting societies, prescribed by rules made under this Act by the Commissioner, and, in relation to registered friendly societies other than collecting societies, prescribed by rules made under this Act by the Chief Registrar of Friendly Societies;

“registered friendly society” includes a registered branch of such a society.

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 Friendly Societies (Emergency
 Protection from Forfeiture) Act, 1940.

(2) References in this Act to the forfeiting of a policy of assurance shall, except where the context otherwise requires, be construed, in a case where the policy provides that, on a default in the payment of premiums, the policy shall be converted into a free-paid-up policy for a reduced amount, as including references to such a conversion.

Provision
as respects
Northern
Ireland.
10 & 11
Geo.5. c. 67.

11. Notwithstanding anything in the Government of Ireland Act, 1920, the Parliament of Northern Ireland shall have power to make laws for purposes similar to the purposes of this Act.

Extent.

12. This Act shall extend to the Isle of Man and the Channel Isles, but, except for the provisions of the last foregoing section, shall not extend to Northern Ireland.

Short title
and con-
struction.

13. This Act may be cited as the Industrial Assurance and Friendly Societies (Emergency Protection from Forfeiture) Act, 1940, and this Act in its application to industrial assurance companies and collecting societies shall be construed as one with the Industrial Assurance Acts, 1923 to 1929, and in its application to friendly societies, other than collecting societies, shall be construed as one with the Friendly Societies Acts, 1896 to 1929.

SCHEDULE.

TABLE OF FACTORS.

Section 3.

<i>Age Group.</i>				<i>Factor.</i>
1 to 5 years	-	-	-	6
6 to 10 „	-	-	-	$5\frac{1}{2}$
11 to 15 „	-	-	-	5
16 to 20 „	-	-	-	$4\frac{1}{2}$
21 to 25 „	-	-	-	4
26 to 30 „	-	-	-	$3\frac{1}{2}$
31 to 35 „	-	-	-	3
36 to 40 „	-	-	-	$2\frac{1}{2}$
41 to 45 „	-	-	-	$2\frac{1}{4}$
46 to 50 „	-	-	-	2
51 to 55 „	-	-	-	$1\frac{3}{4}$
56 to 65 „	-	-	-	$1\frac{1}{2}$
66 to 75 „	-	-	-	$1\frac{1}{4}$
76 years and over	-	-	-	1

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